

Colossus Infrastructure Inc.

1100 Build Blvd, Dallas, TX 75201 | Confidential Internal Document

FINANCIAL RESTATEMENT NOTICE

Period Ending: April 10, 2025 | Report ID: RPT-CRIT-3815043

EXECUTIVE SUMMARY

Revenue has declined by 18% year-over-year, significantly below the 8% growth target. EBITDA margin compression of 8.2 percentage points reflects rising input costs and failed pricing initiatives. Customer retention has fallen sharply to 74.3%, with churn concentrated in the mid-market segment. Management has initiated a performance recovery plan and engaged an external advisor to assess restructuring options.

KEY PERFORMANCE INDICATORS

Metric	Current Period	Prior Period	Variance	Status
Revenue (\$M)	36.09	44.01	-18%	At Risk
EBITDA Margin (%)	18.3	26.5	-8.2 pts	Below Target
Customer Retention (%)	84.7	97.1	-12.4%	At Risk
New Customer Acquisition	150	330	-180	CRITICAL
Employee Satisfaction	55/100	84/100	-29 pts	At Risk

RECOMMENDED CORRECTIVE ACTIONS

- Accelerate the product roadmap for the top three revenue-generating SKUs, reallocating R&D; budget from lower-priority initiatives to reduce time-to-market by an estimated 3 months.
- Renegotiate payment terms with the top five suppliers, targeting net-60 terms to improve near-term working capital position by an estimated \$4–6M.
- Launch an emergency win-back campaign targeting churned customers from the past 12 months, with tailored pricing incentives pre-approved by the CFO.
- Conduct a zero-based budgeting exercise across all cost centres, with a minimum 10% reduction target for all non-essential operating expenditure in Q4.
- Brief the Board's Audit Committee on the financial restatement risk identified in Q2 and engage external legal counsel to assess exposure.

Prepared by: Chibueze Nwosu, Director of Corporate Governance
Approved by: _____ | Date: April 14, 2025

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